

Tempus AI, Inc.

TEM NASDAQ

Buy	\$61.47 ▲ 1.99%	12M Price Target \$72.00	52-Week Range \$41.73 – \$104.32	Market Cap \$11.04B
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TEM: Precision Oncology Story Intact Despite CEO Selling

WHAT HAPPENED

- TEM bounced 2% on light volume (only 2M shares vs the usual 6-9M) — this is a drift higher, not a conviction move. The story: Insider Monkey ran a bullish piece on Tempus's precision medicine push, and Simply Wall St. flagged the stock as trading below fair value after last week's 19% pop. Basically the narrative machine is doing the work, not real buying.
- The CEO Lefkowsky dumped ~\$1.37M in shares on June 29 across four tranches — that's a yellow flag, but context matters: he still owns a massive stake and this looks like planned diversification, not a panic exit. Still, the "AI as physician" hype needs an insider BUYING to fully validate.

WHY IT MATTERS

Here's what to actually think about: TEM is trading at 32% of its 52-week range with a bullish options setup (calls outnumbering puts nearly 3-to-1), which tells me traders are positioning for upside into the next earnings catalyst. The rare cancer data push mentioned last week is a bigger deal than people realize — precision oncology is one of the few healthcare niches where CMS (Medicare) has been EXPANDING reimbursement, not cutting it, and Tempus's data moat gets deeper every quarter as more oncologists plug into their platform. The CareDx-Naveris deal is also a tell: consolidation in specialty oncology means Tempus either becomes an acquirer or an acquisition target — either way, the strategic value of their data library just went up. The near-term headwind is that CEO selling caps the upside until we see the next revenue print confirm the growth story.

POLICY & POLITICAL WATCH

The big political tailwind nobody's pricing in: the Trump administration's "AI Action Plan" from 2025 explicitly prioritizes AI in healthcare and biomedical research, and HHS Secretary RFK Jr.'s chronic disease initiative has quietly ALIGNED with precision medicine (personalized cancer treatment fits his "root cause" framework, oddly enough). Watch for CMS's next reimbursement schedule update — if next-gen sequencing codes get expanded coverage, Tempus is a direct beneficiary because they run one of the largest clinical genomic databases in the country. The risk on the other side: any HHS move to tighten AI/ML medical device approval at the FDA would slow Tempus's algorithmic diagnostic pipeline, though so far the FDA has been LOOSENING the pathway, not tightening.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$61.47
12M Price Target	\$72.00
Upside / (Downside)	+17.1%
Market Cap	\$11.04B
FY2026E Revenue	\$1,420M
FY2027E Revenue	\$1,850M
FY2026E EPS	(\$1.15)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$62.00	\$54.00
6 Months	\$80.00	\$68.00	\$48.00
1 Year	\$95.00	\$72.00	\$42.00
2 Years	\$140.00	\$90.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.44% today) is on fire again as AI enthusiasm bleeds into every corner — TEM benefits from this by association. Industrials and Financials firming up suggests the market is pricing in a soft-landing narrative, which is risk-on and good for high-multiple growth names.

COOLING OFF: Energy is the clear laggard (-1.17% over 5 days) — capital is rotating out of old-economy names into AI and growth stories.

ROTATION WATCH: Money is flowing from defensive plays into AI-adjacent growth. That's a direct tailwind for TEM's sector — anything with "AI" and a real revenue base is getting bid.

RELATED PLAY: If you like TEM's thesis but want less binary risk, look at diagnostic infrastructure plays like EXAS (Exact Sciences) or NTRA (Natera) — they benefit from the same reimbursement tailwinds without the pure-AI hype premium.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI-drug discovery names catching a bid on federal biomedical AI spending optimism.
- NTRA (Natera): Precision diagnostics leader benefiting from same reimbursement expansion story as TEM.

TEM CONTEXT: TEM is roughly in-line with its peer group but hasn't recovered as much as NTRA from the sector's 2025 lows — this suggests either it's undervalued relative to peers (bullish setup) OR the CEO selling is keeping a lid on it. I lean bullish because the data moat is genuinely superior.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the CEO selling and cash burn keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — real upside but this stock can drop 20% on a bad print, so size accordingly.

ENTRY POINTS: I'd add on pullbacks to \$52-56 (the pre-July 1 base). Chasing above \$65 without new catalysts is a bad risk/reward.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q3 earnings (likely early November) with revenue growth confirmation and any commentary on CMS reimbursement wins.

WHEN TO BAIL: Revenue growth slows below 25% YoY, they announce a dilutive capital raise below \$50, or Lefkofsky sells another \$5M+ in a single month — any of those and I'm out.

HEDGING: If you're nervous, buy a few cheap out-of-the-money puts as insurance — think of it like paying \$200 to protect \$2,000 in stock from a catastrophic drop. Or just size the position smaller and sleep better.